

The Decoy Effect.

How adding a worse option makes people spend more — and how to use it honestly.

What it is

The decoy effect is when adding a third, deliberately worse option makes one of the original two suddenly look like the obvious choice.

You don't change the two real options. You change **how people judge them.**

The famous example

The Economist offered three plans: web only at \$59, print only at \$125, and print + web also at \$125.

Print-only looks pointless. That's the point. It exists to make the \$125 bundle feel like a steal.

In Dan Ariely's test, the decoy pushed the bundle from **32% to 84%** of buyers.

Why it works

People are bad at judging value on its own.
We judge by comparison.

A decoy hands the brain an easy, flattering
comparison to make. So it takes it — and
feels smart for doing so.

How to use it

In your pricing or your proposal, add a deliberately weaker tier next to the one you actually want chosen.

Don't sell the decoy. **Frame it.** Three options, and the middle one wins.

A worse option isn't clutter. It's context.

Give people something to compare against, and the choice you want makes itself.

Save this. You'll
use it this quarter.

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